

MOCK TEST: MACROECONOMICS

Determination of Income and Employment (Unit 3)

Time: 1 Hour

Max Marks: 35

SECTION A: Multiple Choice Questions (1 Mark Each)

Q1. The equation of the Consumption Function is:

- a) $C = a + bY$ | b) $C = a - bY$
c) $C = Y - S$ | d) $C = I + S$

Q2. If MPC is 0.8, then MPS is:

- a) 0.2 | b) 0.8
c) 1.0 | d) 0.5

Q3. Equilibrium level of income is achieved when:

- a) $AD = AS$ | b) Savings = Investment
c) $AD > AS$ | d) Both (a) and (b)

Q4. The value of the Multiplier is highest when MPC is:

- a) 0 | b) 0.5
c) 0.8 | d) 1

Q5. Deficiency of Demand leads to:

- a) Inflation | b) Unemployment
c) Full Employment | d) Economic Growth

SECTION B: Very Short Answer (1 Mark Each)

Q6. Define 'Effective Demand'.

Q7. What is the value of MPC when the entire income is consumed?

Q8. Differentiate between 'Autonomous' and 'Induced' Consumption.

Q9. What is the relationship between MPC and MPS?

Q10. Define 'Multiplier' in the context of National Income.

SECTION C: Short Answer (3 Marks Each)

Q11. Explain the relationship between APC and MPC.

Q12. What are the conditions of Equilibrium in a 2-sector economy?

Q13. How does an increase in Autonomous Investment affect Equilibrium Income?

Q14. Distinguish between 'Excess Demand' and 'Deficiency of Demand'.

Q15. Why is the Consumption Function considered stable in the short run?

SECTION D: Long Answer / Numerical (5 Marks Each)

Q16. Numerical Problem:

Consumption Function: $C = 100 + 0.6Y$ | Investment: $I = 500$

Calculate:

(a) Equilibrium Level of Income (Y).

(b) Total Consumption Expenditure at equilibrium.

Q17. Numerical Problem:

MPS = 0.25. Calculate Multiplier (k).

If investment increases by ₹ 1,000 crores, what is the increase in National Income?

Q18. Explain determination of equilibrium income with AD=AS approach (with diagram).

ANSWER KEY & SOLUTIONS

Q1-Q5: a, a, d, d, b

Q16 Solution:

Equilibrium: $Y = C + I \Rightarrow Y = 100 + 0.6Y + 500 \Rightarrow 0.4Y = 600$

(a) $Y = 600/0.4 = \text{₹ } 1,500$

(b) $C = 100 + 0.6(1500) = 100 + 900 = \text{₹ } 1,000$

Q17 Solution:

$k = 1/\text{MPS} = 1/0.25 = 4$

$\Delta Y = k * \Delta I = 4 * 1000 = \text{₹ } 4,000 \text{ Crores}$

**Mock Test Of Macroeconomics Class 12 Chapter determination of income and employment
by Thunderstudy**